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1. Tom was thinking about investing in Back of the Pack Productions (BPP Inc), and requested a copy of their Income Statement. What is Tom likely to learn from looking at their Income Statement?
- A. How much BPP owes it's Lenders
 - B. How much cash BPP has on the date of the statement
 - C. How profitable BPP was
 - D. How BPP financed it operations
 - E. Tom can learn all of the above by reviewing BPP's Income Statement
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2. At the start of the year, XYZ Corp's assets totaled \$508,000 and its Liabilities totaled \$250,000. By the end of the year, if the assets increased by \$86,000 and the liabilities were reduced by \$144,000 what is the current balance in Shareholder's Equity?
- A. \$ 316,000
 - B. \$ 200,000
 - C. \$ 528,000
 - D. \$ 298,000
 - E. \$ 488,000
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3. Chandra Park recently purchased 2 box trucks to use as delivery trucks for the purchasing of fish tanks. Where would you record the purchase of these two delivery trucks on their financial statements?
- A. On the Balance Sheet as Fixed Assets
 - B. On the Balance Sheet as a Long-Term Liability
 - C. On the Income Statement as Accounts Payable
 - D. On the Income Statement as Fixed Assets
 - E. On the Balance Sheet as Equity
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4. The firms in an industry may experience higher average profitability (compared to another industry) when:
- A. It is easy to enter the Industry
 - B. A small number of firms can supply key components used by the industry
 - C. There are a large number of firms in the Industry
 - D. There are no good substitutes for the major products of the industry
 - E. None of the above would lead to higher profitability
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5. Which of the Management Building Blocks illustrates how Value is sustained by the firm?
- A. Product, Place and Promotion
 - B. Price and Product
 - C. Context, Competition, Company, Customers and Collaborators
 - D. Customer Acquisition and Retention
 - E. Segmentation, Targeting and Positioning
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6. What is the difference between middle managers and top managers in terms of Planning, Organizing, Directing and Controlling?
- A. Middle managers spend less time Directing and more time Controlling
 - B. Middle managers spend more time Planning and Organizing
 - C. Middle managers spend more time Planning and Controlling
 - D. Middle managers spend less time Organizing and more time Directing
 - E. Middle managers spend more time Staffing and less time Planning
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7. Which of the following actions would reduce consumer surplus according to the Value Stick Framework?
- A. Increasing the price of the product while keeping the cost constant
 - B. Increasing the perceived value of the product while keeping the price constant
 - C. Increasing the cost of production while keeping the price constant
 - D. Decreasing the price of the product while keeping the perceived value constant
 - E. Increasing the cost of production and decreasing the price simultaneously
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8. Which business structure allows for the easiest transfer of ownership thru the sale of stock?
- A. Sole Proprietorship
 - B. General Partnership
 - C. Limited Liability Company (LLC)
 - D. Corporation
 - E. Cooperative
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9. Which business structure is typically used by professionals such as lawyers and accountants, and offers protections to its members?
- A. Sole Proprietorship
 - B. General Partnership
 - C. Limited Liability Partnership (LLP)
 - D. Corporation
 - E. Cooperatives
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10. Which of the following best describes the primary purpose of the Porter's Value Chain?
- A. To identify the most profitable products a company can offer
 - B. To outline the key activities a business undertakes to create value
 - C. To determine the optimal pricing strategy for a company's products
 - D. To analyze the competitive landscape of an industry
 - E. To evaluate the financial performance of a company
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11. Which of the following is NOT a way in which debt and equity investments in a public company typically differ from one another?
- A. Certainty about the amount and timing of payments the investor will receive from the company
 - B. Likelihood the investor's money is returned in the event of bankruptcy
 - C. Sensitivity of investment returns to company's share price
 - D. Extent of investor's legal liability in the event of a bankruptcy
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12. If a credit card marketer plans to use historical data to estimate the fraction of households who will respond to a direct mail offer, what type of Business Analytics tool should they use?
- A. Descriptive Model
 - B. Data Visualization
 - C. Prescriptive Model
 - D. Predictive Model
 - E. Decision Support System
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13. Using Porter's Value Chain framework, analyze the primary functions that CP Aquariums should focus on to ensure the success of their expansion plan. Select One (1) primary and one (1) secondary activity and describe how each activity creates economic value. Be sure to label which is a primary activity and which is a secondary activity in your response. [8 points]
- (Please write your essay response on a separate piece of paper)*
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14. Two of the classic examples of the Principal-Agent Problem involve (1) the management and ownership of public corporations and (2) buying a house. Please choose one of the two, i.e., either (1) or (2), and answer the questions below [10 points]
- Be sure to answer all 4 (four) parts to this question.
- 1. Who is (or who are) the principal(s) in this example?
 - 2. Who is (or who are) the agent(s) in this example?
 - 3. What, if anything, is the problem in the scenario?
 - 4. What is a real-world approach to "aligning incentives" between principal and agent in your scenario?
- (Please write your essay response on a separate piece of paper)*
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15. Please consider the admissions process to a prestigious university or college. Imagine that you were an admissions enrollment specialist leading a team preparing for next year's academic recruitment period. Identify one question relevant to the Admissions Process that could be answered via each of the following types of analytics: [9 points]
- 1. descriptive analytics
 - 2. predictive analytics
 - 3. prescriptive analytics
- (Please write your essay response on a separate piece of paper)*
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16. Return on Sales (ROS), Return on Assets (ROA) and Return on Equity (ROE) are three different accounting ratios. Which ratio you would use to assess the performance for (a) retailers, (b) manufacturers, and (c) banks.
- Be sure to include a brief statement explaining why each ratio is the best fit for that type of firm a, b and/or c. [9 points]
- (Please write your essay response on a separate piece of paper)*
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17. Provide a 1-2 sentence description of each element of Warby Parker's marketing mix. (8 points)
- (Please write your essay response on a separate piece of paper)*
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18. Please explain what a Balance Sheet is, including its main components and how the components equate to each other. [10 points]
- (Please write your essay response on a separate piece of paper)*
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19.

This question has 3 sub parts (a,b and c) please read and answer all three parts for credit. [10 points]

Suppose that you would be willing to pay up to \$500 to see your favorite band perform live next Friday evening. Tickets are on sale for \$300 plus a \$50 Ticketmaster processing fee. The total cost of renting the hall and promoting the event is \$75 per seat.

(a) If you buy a ticket and the concert sells out, how much economic value do you capture, and how much does the band capture from your purchase?

Now suppose another pretty good act is playing on the same night at the same time. You would normally be willing to pay \$250 to see the second band, and tickets are selling for \$75, with no additional fees.

(b) Which concert provides you with more consumer surplus? How much more?

(c) Now suppose the Symphony is also performing at the same time. Using the Value Stick framework, explain why your favorite band is more concerned about the second band than about the Symphony.

(Please write your essay response on a separate piece of paper)